YES SECURITES
INSTITUTIONAL EQUITIES

March 22, 2026

Company Update | Sector: Capital Goods

VA Tech Wabag Ltd

Recommendation	:	BUY
Current Price	:	Rs 1,236
Target Price	:	Rs 2,090
Potential Return	:	+69%

Stock data (as on Mar 20, 2026)

Nifty	23,115
52 Week h/l (Rs)	1680 / 1033
Market cap (Rs/USD mn)	73903 / 790
Outstanding Shares (mn)	62
6m Avg t/o (Rs mn):	352
Div yield (%):	0.4
Bloomberg code:	VATW IN
NSE code:	WABAG

Stock performance

	1M	3M	1Y
Absolute return	-2.8%	-4.6%	-10.6%

Shareholding pattern (As of Dec'25)

Promoter	19.1%
FII+DII	23.3%
Others	57.6%

Financial Summary

(Rs mn)	FY25A	FY26E	FY27E
Net Revenue	32,940	37,731	45,045
YoY Growth	15%	15%	19%
EBIDTA	4,223	5,207	6,441
EBIDTA (%)	12.8%	13.8%	14.3%
PAT	2,948	3,728	4,735
YoY Growth	18%	26%	27%
ROE	14.9%	16.1%	17.5%
EPS	47.5	60.0	76.2
P/E	31.1	20.6	16.2
BV/Share	340	401	471
P/BV	4.0x	3.6x	3.0x

Implications of Middle East crisis on water infra: decentralization + overcapacity + diversification of supply sources to create opportunities for WABAG

War in Middle East is escalating with recent news flows indicating potential attacks on energy infrastructure by the US and Israel and on desalination plants by Iran. Our analysis of historical events indicates that countries tend to decentralize their critical infrastructure, build over capacities and diversify supply chains to reduce the impact of future disruptions. We believe that the region will see increased tendering for desalination and water and wastewater treatment plants (albeit smaller, modular plants), overcapacities, and more robust water supply network. This opens significant opportunities for WABAG, who specializes in desalination plants as well as WWW plants. Furthermore, the company has announced orders of 2,000-3,000 crores over the last 1 month and is on track to take its full year orders to about Rs. 7,000 crores and orderbook to Rs. 17,000 crores. West Asia is about 25% of the total order backlog. The company has noted no material impact of war on the projects. WABAG remains our top pick in our coverage.

West Asia 25% of total orderbook; no material impact from war: West Asia is about 25% of the total order book of WABAG and the impact of war has been negligible for WABAG.

Recent attacks on desalination plants in Middle East exposes overdependence: Recent newsflows indicate potential attacks on water infrastructure by Iran and on Energy infrastructure by the US and Israel. We believe that the attacks on desalination plants in Bahrain by Iran exposes the overdependence on these plants and the countries would need to rethink their strategy to ensure sustainability of the critical water infrastructure.

Middle East to move towards decentralization, overcapacity in water infra: Historical evidence across energy, power, and water sectors indicates that infrastructure systems exposed to disruptions typically transition from efficiency-driven design toward resilience-focused architecture. In the aftermath of such shocks, stakeholders consistently prioritise redundancy (through spare capacity and strategic reserves), decentralisation (to mitigate single-point failures), and diversification of supply sources. The countries are likely to build more desalination, water and wastewater treatment plants along with development of robust water supply networks and strategic water reserves. This marks a structural shift in objective—from cost optimisation and efficiency toward ensuring continuity, reliability, and system-level resilience.

Structurally positive for Wabag: The shift toward water security in the Middle East is structurally positive for VA Tech Wabag, as governments will transition from large, centralised desalination assets to decentralised, modular systems thereby increasing project frequency and geographic opportunities. WABAG already has deep expertise in building desalination as well as WWW treatment plants.

Solid orders during Q4: WABAG has till date announced 3 orders with 2 "mega" orders and 1 "large" order, implying current quarter orders in Rs. 2,000 to 3,000 crore range. Notably, orders of over Rs. 2,000 crores come from Chennai which is expanding its water infrastructure rapidly to ensure quality water supply for both residential as well as industrial use. The current quarter also marks a renewed focus on the European region. The company is well on track to record full year orders of about Rs, 7,000 crores and orderbook of about Rs. 17,000 crores.

Valuation and View – We continue to value the stock at FY28 PE multiple of 22x to arrive at a target price of Rs. 2,090. We maintain our "Buy" rating on the stock.

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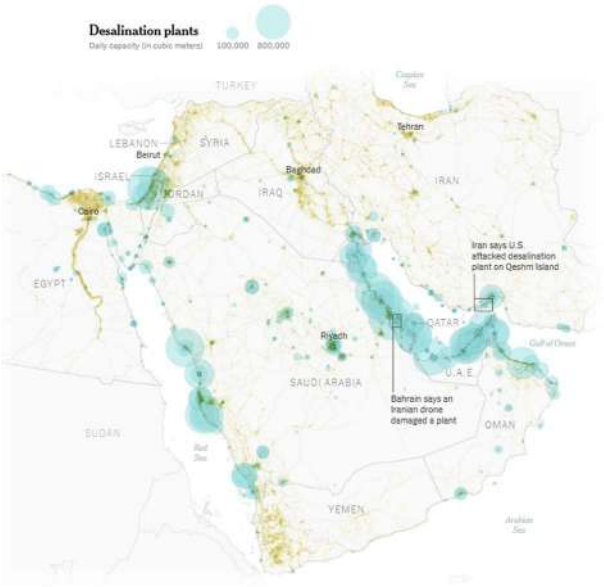
MIDDLE EAST – DECENTRALISATION AND REDUCANCY IS THE WAY FORWARD

What's happening currently

Desalination remains a cornerstone of water supply across the Middle East, particularly in the Arabian Gulf, where over 400 desalination plants support one of the most water-scarce regions globally. Desalinated water, alongside groundwater, accounts for ~90% of total water supply in the region. Country-level dependence remains high—~42% in the UAE, ~90% in Kuwait, ~86% in Oman, and ~70% in Saudi Arabia—highlighting the structural reliance on desal infrastructure. In contrast, Iran's dependence is relatively lower due to the availability of inland water resources such as rivers and dams.

Exhibit 1: Major desalination plants in the Middle East



Source: NYTIMES, YES Sec; Includes plants that are "presumed online". Does not include plants with a capacity below 1,000 cubic meters per day. Source: Global Water Intelligence, DesalData.com.

Recent geopolitical developments have brought this dependence into sharper focus. Targeted attacks on critical infrastructure have now extended to water assets, with reported incidents involving desalination facilities in Bahrain and Iran (Qeshm Island) in early March. While the scale of disruption remains limited at present, these incidents underscore a critical vulnerability: the concentration of large-scale desalination capacity in a few coastal, centralised assets.

Historical Precedent: From Efficiency to Resilience

Historical experience across sectors (energy, power, water) suggests that infrastructure systems exposed to disruption typically evolve along a common trajectory—from efficiency-driven design toward resilience-oriented architecture.

Post-disruption responses have consistently included:

- Redundancy creation (spare capacity, strategic reserves)
- Decentralisation of assets (reducing single-point failures)

- Diversification of supply sources (multi-node systems)

Exhibit 2: Disruptions and response

Country / Region	Sector	Trigger Event	Shock Year	Response Phase	Response Type	Specific Actions Taken
Israel	Water	(Rapid population growth + overextraction of aquifers)	Early 2000s trigger	2005–2015 (build phase)	Decentralisation + water recycling	Multiple desal plants; reuse systems; national grid
UAE	Water	(Rapid population growth + overdependence on groundwater)	~2010s (gradual)	2015–ongoing	Redundancy + Decentralisation	~45-day storage; multiple desal plants; grid interconnect
United States	Oil	1973 oil crisis	1973–74	1975–1985 (policy + buildout)	Redundancy	Strategic Petroleum Reserve (SPR); fuel standards
Saudi Arabia	Oil	Abqaiq–Khurais attack	2019	2019–2022 (immediate + structural)	Redundancy	Spare capacity (2–3 mbpd); storage expansion; pipeline flexibility
Europe	Gas	Nord Stream pipeline sabotage	2022	2022–2025 (ongoing)	Redundancy + Diversification	LNG terminals (FSRUs); storage mandates; multi-source imports
Germany	Energy	(Post-Ukraine war)	2022	2022–2026 (fast-track)	Redundancy + Decentralisation	LNG terminals; renewables expansion; diversified sourcing
United States (Texas)	Power	Texas power crisis	2021	2021–ongoing	Decentralisation	Microgrids; battery storage; distributed generation
Ukraine	Power	Russian strikes on Ukrainian energy infrastructure	2022–2024	2022–ongoing	Redundancy + Decentralisation	Mobile substations; diesel gensets; EU grid sync; microgrids

Source: YES Sec

Implications for Middle East Water Infrastructure

We expect a structural redesign of water infrastructure across the region over the medium term, driven by rising security considerations:

- **Shift toward decentralised desalination capacity**: Governments are likely to move away from reliance on a limited number of large desalination plants toward a network of smaller, modular facilities. This reduces concentration risk and enhances system flexibility in the event of localized disruptions.

- **Build-out of strategic water reserves**: Following the UAE's model (~45 days of water storage), other GCC countries may invest in large-scale storage infrastructure, including aquifer storage and reservoir systems, to create buffer capacity against supply shocks.

- **Creation of excess / standby capacity**: Unlike historical designs focused on optimal utilisation, future systems are likely to incorporate deliberate overcapacity to ensure uninterrupted supply during contingencies.

- **Greater integration and grid connectivity**: Development of interconnected water transmission networks will enable rerouting of supply across regions, reducing dependency on individual assets.

Implications for WABAG

West Asia is 25% of total order book with negligible impact on ongoing projects

More opportunities in higher number of smaller, modular desalination plants: The emerging shift toward water security in the Middle East is structurally favourable for VA Tech Wabag Ltd. As governments move away from reliance on a few large desalination assets toward a distributed network of smaller, modular plants, the opportunity set expands in terms of project frequency and geographic spread. Wabag's positioning in engineering-led, mid-sized desalination and water treatment projects aligns well with this transition, enabling it to benefit from a steady pipeline of orders with relatively shorter execution cycles compared to large, lumpy projects.

Wastewater recycling and reuse to increase: In parallel, the increasing policy focus on reducing dependence on desalination through wastewater recycling and reuse creates other growth areas. Wabag has a strong track record in sewage treatment, tertiary treatment, and reuse solutions, which are likely to see accelerated adoption across GCC countries. Additionally, the build-out of strategic water reserves and integrated water management systems (including storage and aquifer recharge) expands the company's addressable opportunity beyond standalone desalination, supporting larger and more complex project scopes.

FINANCIALS

Exhibit 1: Balance sheet

Balance Sheet	FY22	FY23	FY24	FY25A	FY26E	FY27E	FY28E
Non-current assets	**10,386**	**10,175**	**9,492**	**9,864**	**10,942**	**12,621**	**14,616**
PPE	766	718	689	636	632	635	643
Intangibles	33	36	36	31	30	30	31
Investments	376	458	671	694	719	759	799
Others	9,211	8,963	8,096	8,503	9,561	11,197	13,143
Current assets	**29,638**	**30,717**	**36,253**	**42,809**	**49,793**	**58,168**	**68,711**
Inventories	320	353	359	358	465	555	664
Trade receivables	13,255	15,068	19,911	20,129	22,225	25,299	28,755
Cash and cash equivalents	3,210	1,806	4,399	7,177	10,004	12,435	16,079
Other balances with bank	1,076	948	698	2,269	2,269	2,269	2,269
Others	11,777	12,542	10,886	12,876	14,830	17,609	20,945
Total assets	**40,023**	**40,892**	**45,745**	**52,673**	**60,735**	**70,788**	**83,327**
Equity	**15,259**	**15,746**	**18,239**	**21,450**	**24,926**	**29,287**	**34,792**
Equity share capital	124	124	124	124	124	124	124
Other equity	15,134	15,622	18,115	21,326	24,802	29,163	34,668
Non-current liabilities	**3,071**	**2,136**	**5,956**	**6,014**	**6,541**	**7,174**	**8,139**
Borrowings	984	582	1,934	1,786	1,786	1,786	1,786
Trade payables	1,551	1,332	1,283	2,274	2,274	2,715	3,244
Others	536	222	2,739	1,954	2,481	2,673	3,108
Current liabilities	**21,693**	**23,009**	**21,549**	**25,209**	**29,270**	**34,328**	**40,398**
Borrowings	3,375	1,608	955	1,831	1,831	1,831	1,831
Trade payables	9,853	10,697	10,283	10,458	12,921	15,426	18,432
Other current liabilities	7,229	9,154	8,648	10,972	12,451	14,865	17,762
Others	1,236	1,550	1,663	1,948	2,066	2,206	2,373
Total equity and liabilities	**40,023**	**40,891**	**45,744**	**52,673**	**60,736**	**70,789**	**83,328**

Source: Company, YES Sec – Research

Exhibit 2: Income statement

Profit and Loss	FY22	FY23	FY24	FY25A	FY26E	FY27E	FY28E
Revenue from sale of services	**29,463**	**29,463**	**28,269**	**32,760**	**37,392**	**44,695**	**53,423**
y/y growth (%)	5%	0%	-4%	16%	14%	20%	20%
Gross profit	6,736	6,909	6,897	7,335	9,244	11,036	13,187
Margin (%)	22.6%	23.3%	24.1%	22.3%	24.5%	24.5%	24.5%
Adj. EBITDA	**2,370**	**3,177**	**3,757**	**4,223**	**5,207**	**6,441**	**7,966**
Margin (%)	8.0%	10.7%	13.2%	12.8%	13.8%	14.3%	14.8%
Adj. EBIT	2,269	3,089	3,673	4,164	5,161	6,394	7,916
Margin (%)	7.6%	10.4%	12.9%	12.6%	13.7%	14.2%	14.7%
Interest	-877	-658	-711	-788	-786	-786	-786
PBT	1,684	3,060	3,301	3,844	4,905	6,189	7,816

Tax	-363	-59	-797	-896	-1,177	-1,454	-1,837
Net profit	**1,321**	**109**	**2,504**	**2,948**	**3,728**	**4,735**	**5,979**
Margin (%)	4.4%	0.4%	8.8%	8.9%	9.9%	10.5%	11.1%
Adj. Net profit	**1,321**	**2,109**	**2,504**	**2,948**	**3,728**	**4,735**	**5,979**
Margin (%)	4.4%	7.1%	8.8%	8.9%	9.9%	10.5%	11.1%
Adj. EPS (Diluted)	21.2	34.2	39.5	46.8	60.0	76.2	96.2
y/y growth (%)	13%	61%	15%	19%	28%	27%	26%
DPS	0.0	0.0	0.0	4.0	6.0	7.6	9.6

Source: Company, YES Sec – Research

Exhibit 3: Cash Flow Statement

Cash Flow statement	FY22	FY23	FY24	FY25A	FY26E	FY27E	FY28E
Net profit before tax	1,684	3,060	3,301	3,844	4,905	6,189	7,816
D&A	101	88	84	59	46	47	50
Others	1,335	-2,516	1,092	390	-56	-69	-131
Changes to working capital	-2,817	491	-2,882	76	-816	-2,113	-2,081
Direct tax paid	-186	-275	-260	-817	-1,177	-1,454	-1,837
Cash flow from operations	**116**	**848**	**1,335**	**3,552**	**2,903**	**2,599**	**3,817**
PPE	-26	-17	-110	-40	-42	-50	-59
Interest and dividends received	146	78	262	239	505	541	646
Others	-459	97	689	-1,409	0	0	0
Cash flow from investing activities	**-340**	**158**	**841**	**-1,210**	**464**	**491**	**587**
Increase/(decrease) in borrowings	808	-2,119	685	673	0	0	0
Share issuance	0	0	0	0	0	0	0
Finance cost paid	-364	-281	-249	-333	-286	-286	-286
Dividend paid	2	0	0	0	-252	-373	-474
Cash flow from financing activities	**446**	**-2,400**	**436**	**340**	**-538**	**-659**	**-760**
Net increase/(decrease) in cash and cash equivalents	**223**	**-1,394**	**2,612**	**2,682**	**2,828**	**2,431**	**3,644**
Others	-51	-11	-19	96	0	0	0
Cash at the beginning of the year	3,038	3,210	1,805	4,398	7,176	10,004	12,435
Cash at the end of the year	**3,210**	**1,805**	**4,398**	**7,176**	**10,004**	**12,435**	**16,079**

Source: Company, YES Sec – Research

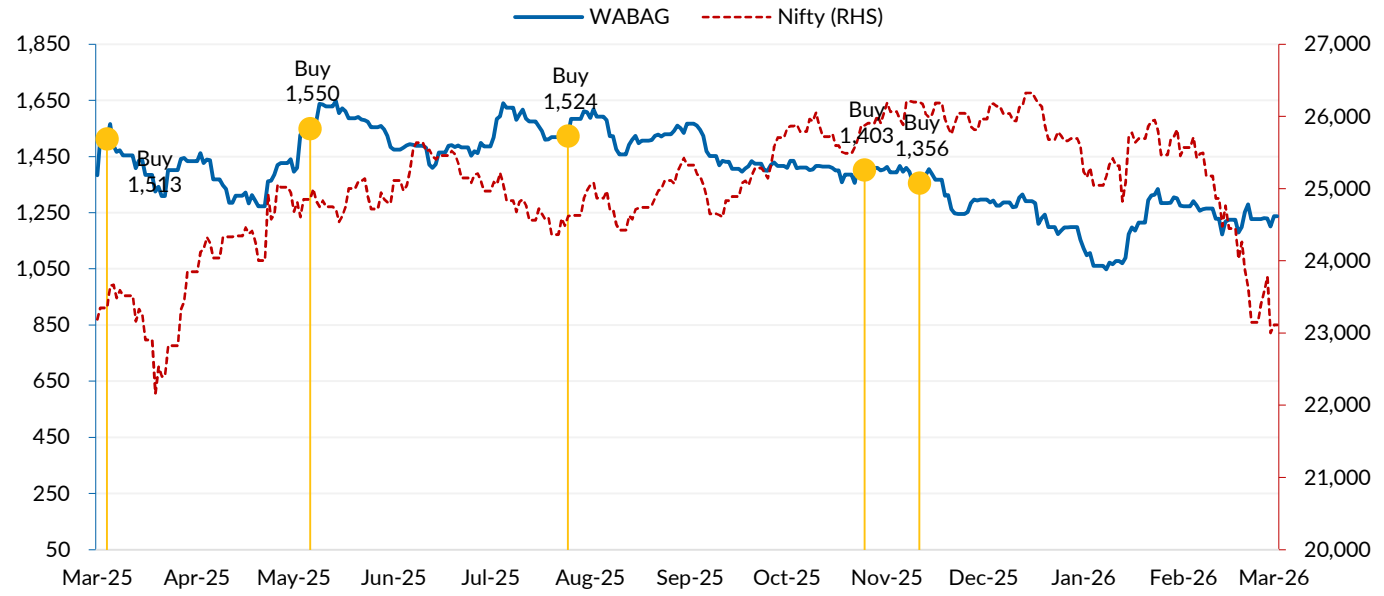
Exhibit 4: Ratio analysis

Ratios	FY22	FY23	FY24	FY25A	FY26E	FY27E	FY28E
Profitability ratios							
Gross margin	22.6%	23.3%	24.1%	22.3%	24.5%	24.5%	24.5%
Adj. EBITDA margin	8.0%	10.7%	13.2%	12.8%	13.8%	14.3%	14.8%
Adj. EBIT margin	7.6%	10.4%	12.9%	12.6%	13.7%	14.2%	14.7%
PAT margin	4.4%	0.4%	8.8%	8.9%	9.9%	10.5%	11.1%

Payout ratio	0.0%	0.0%	0.0%	8.5%	10.0%	10.0%	10.0%
Leverage ratios							
Debt/Equity	0.3x	0.1x	0.2x	0.2x	0.1x	0.1x	0.1x
Net debt/Equity	0.0x	0.0x	-0.1x	-0.3x	-0.3x	-0.4x	-0.4x
Net debt/EBITDA (adj.)	0.0x	-0.2x	-0.6x	-1.4x	-1.7x	-1.7x	-1.9x
Interest coverage ratio	2.6x	4.7x	5.2x	5.3x	6.6x	8.1x	10.1x
Return ratios							
ROCE	12.3%	16.5%	19.4%	19.0%	19.7%	20.8%	22.2%
ROE	9.0%	0.8%	14.5%	14.9%	16.1%	17.5%	18.7%
NWC days							
Receivable days	254	270	322	289	280	270	260
Inventory days	4	4	5	4	5	5	5
Payables days	140	148	148	141	147	147	147
Other days	42	14	9	-1	3	4	5
NWC days	**160**	**140**	**188**	**151**	**140**	**132**	**123**

Source: Company, YES sec

Recommendation Tracker



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ANIKET JAIN Analyst Signature Digitally signed by ANIKET JAIN Date: 2026.03.22 20:07:31 +05'30'

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